



Wadhvani Ignite

CONCEPT BOOKLET

Module 8

Lesson 1: Understanding Marketing and Sales

Context:

You are clearly excited that you now have a validated problem and have crafted a product/service to solve it effectively. You have also figured out an initial financial and business model and are rearing to go to market!

A successful start-up is about having a good product or service that customers are willing to pay you for! But that is not enough...understanding both where you can find your target customers and how to attract them such that they are convinced about your product's value is required to convert potential customers to paying customers!

Marketing which is all about knowing where and how to reach your customers and Sales which is about knowing how to convert targets to becoming your customers are therefore, essential for driving the sustainability, growth and profitability of your business.

Program overview, & your **Venture Journey** over 14 weeks

1. Problem Identification	2. Customer Identification & Needs Validation	3. Solution Idea Generation
Week 1-2	Weeks 2-4	Week 4
■ Orientation ■ Develop Macro Industry-Problem view ■ Assemble “Real-World” Problems ■ Examine Chosen Problems ■ Analyze Problems	■ Identify customer segments ■ Assess 'jobs-to-be-done' ■ Develop Customer Personas ■ Understand Customer Validation ■ Validate Customer-Problem fit ■ Pivot/Refine Customer-Problem Fit for Feasibility	■ Understand Ideation techniques ■ Generate Solution Idea
4. Opportunity & Competition Mapping	5. Prototype Development & MVP	6. Opportunity Feasibility Assessment & Sizing
Week 5	Week 6	Week 7-8
■ Identify Global competitors ■ Review Industry Trends and Estimate Market Size (TAM) ■ Introduction to Financial Planning	■ Overview of Prototypes & MVP ■ Build an Initial Prototype ■ Prototype for Early Validation	■ Map your Relative Position in the Market ■ Estimate Opportunity Size
7. Business Modelling	8. Marketing & Sales Strategy	9. Financial Management for Profitability
Week 8-9	Week 9-10	Week 11-12
■ Examine Revenue Model ■ Revenue Models continued ■ Review and Organize the Lean Canvas ■ Build the LC for your Startup	■ Understand Marketing & Sales ■ Recommend a Go-To-Market (GTM) Approach ■ Map a Sales Process	■ Deep Dive into Financial Planning ■ Analyze the Path to Profitability ■ Understand Bootstrapping and Funding Options
10. Team & Talent Requirement	11. Orientation for Scale	12. Venture Idea Feasibility Presentation
Week 12	Week 13	Week 14
■ Finding Co-founders and Mentors ■ Building an Initial Team	■ Thinking Beyond the Prototype - Scale Opportunity & Orientation ■ Persuasive Story-Telling for a Viable Venture Idea ■ Pitch preparation	■ Practice Pitch ■ Final Pitches

Concepts Covered in this Lesson

A Overview of Marketing and Sales • Why • What • Difference between marketing and sales	B Marketing – Details • Segmentation • Channels • Metrics
C Sales – Details • Sales funnels • How do companies leverage Sales activities	D Corelation of Marketing and Sales • How do the marketing and sales activities interact with each other?

Learning Objectives

This module provides you with broad based knowledge and skills to operate strategically. You will develop the understanding of why creating visibility, creative marketing campaigns that relate and connect to your target audience and demonstrate how your product delivers on their promise are crucial to build a strong brand and trust.

More specifically after completing this lesson, you will:

- Understand the basics of Marketing and Sales and their correlation.
- Develop a marketing and sales strategy and a go-to-market strategy for your venture idea
- Identify goals/KPIs for marketing and sales activities of your start-up.

Steps for you to take post the module:

- Understand Marketing and Sales
- Craft the top objectives for your startup's marketing activities.

A. Overview of Marketing and Sales

Why?

Sales and marketing are like the engine of a business—they make it go! **Marketing creates interest** in *what you offer*, while **Sales turn that interest into sales**, which keeps your business moving forward and growing. Without them, your business might not even get off the ground.

What?

Sales and marketing are therefore, two interconnected functions within a business aimed at **promoting and selling products** or services.

Marketing involves activities such as market research, advertising, branding, and promotion to attract potential customers and generate interest in what the business offers.

Sales, on the other hand, focuses on directly engaging with customers, converting leads into sales, and building relationships to drive revenue.

Together, these functions are vital for elevating your startup above the competition - create demand, generate sales, and foster customer loyalty.

B. Marketing - details

Marketing isn't just about visibility; it's about clarity and value. A well-crafted marketing strategy communicates your product's benefits and purpose, aligning your team and potential customers around a clear understanding of what your product offers and why it matters. This foundation is crucial for generating genuine interest and excitement.

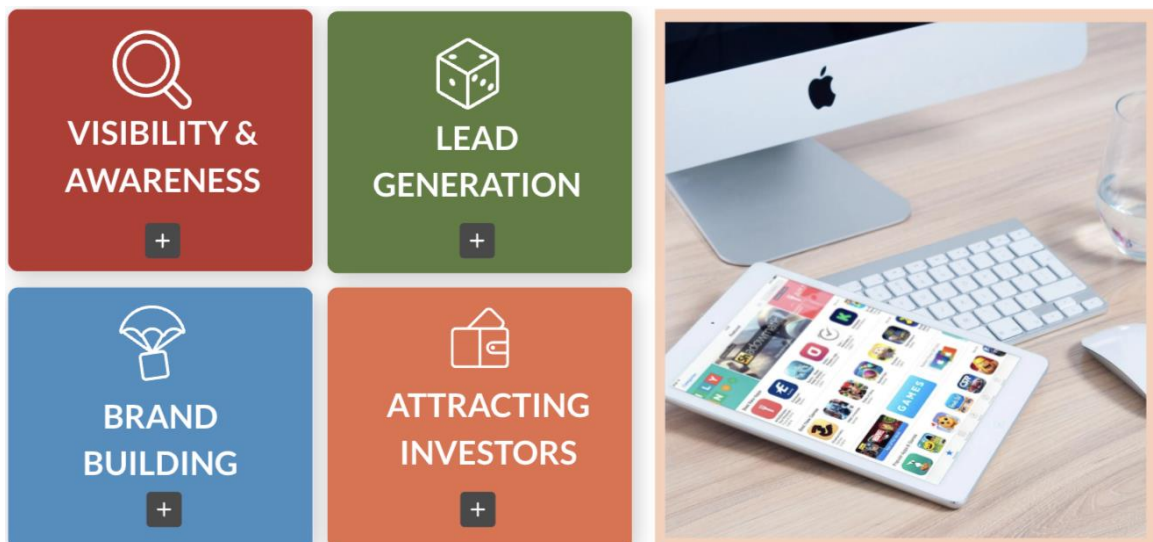
Understanding Marketing

Marketing works in different areas and has a crucial role in business success. Let's understand this better with examples:

a. Visibility and Awareness

Without marketing, even the most brilliant product remains shrouded in obscurity. Effective marketing campaigns raise brand awareness, putting your business on the radar of potential customers.

For example, when Apple launches a new iPhone, its extensive marketing efforts through TV commercials, online ads, and social media ensure that everyone, from tech enthusiasts to the general public, is aware of the new product. This visibility helps Apple maintain its position as a market leader.



b. Lead Generation

Marketing acts like a magnet, drawing your ideal customers towards your offering. It generates leads, nurtures them through the buying journey, and ultimately converts them into paying customers.

HubSpot is a **prime example**; it uses content marketing to attract potential customers by offering valuable blog posts, e-books, and webinars. These resources not only generate leads but also guide them through the sales funnel until they are ready to purchase HubSpot's marketing software.

c. Brand Building

Marketing sculpts your brand image, shaping how the world perceives your company. Through consistent messaging and communication, you build trust, loyalty, and advocacy, turning customers into brand champions.

Nike, for instance, consistently uses its "Just Do It" slogan and endorsements from top athletes to build a strong, inspirational brand image. This consistent branding has created a loyal customer base that not only buys Nike products but also advocates for the brand.

d. Attract Investors

For startups seeking funding, a solid marketing strategy is often a key factor in attracting investors. Investors want to see a startup that understands its market, knows its customers, and has a clear plan for growth.

Take Airbnb as an example. Its innovative marketing strategies, such as the "Belong Anywhere" campaign, showcased a deep understanding of its market and customer base. This clear and

compelling marketing approach helped Airbnb secure substantial investment and grow into a global hospitality giant.

Reminder: Segmentation

You have already segmented your customers in the market into one or more kinds (Primary and secondary) based on the product/service solution that you have validated meets their needs. This segmentation and customer profile is the first step to thinking about your marketing strategy.

Marketing Channels

Marketing channels are the avenues or ways through which a company delivers its product or service to the its target customer/consumer. They can be broadly classified into direct and indirect channels.

1. Direct Marketing Channels:

- The company sells directly to the consumer without intermediaries.
- Examples:
 - **E-commerce websites:** Selling products through the company's own website.
 - **Direct mail:** Sending promotional materials directly to consumers.
 - **Telemarketing:** Selling products over the phone.
 - **Television and Bill boards:** This is the more traditional and expensive way of selling products via very visible AV story-telling on television and images on billboards.
 - **Company-owned stores:** Physical stores operated by the company itself.

2. Indirect Marketing Channels:

- The company uses intermediaries to reach the end consumer.
- Examples:
 - **Retailers:** Selling products through retail stores.
 - **Wholesalers:** Selling products to wholesalers who then sell to retailers.
 - **Distributors:** Agents who sell products to end consumers on behalf of the company.
 - **Agents/Brokers:** Third parties who facilitate sales between the company and consumers.

3. Digital Marketing Channels:

- Leveraging online platforms to reach consumers.
- Examples:
 - **Social Media:** Platforms like Facebook, Instagram, and Twitter for marketing and sales.
 - **Search Engines:** Using SEO and PPC advertising on Google, Bing, etc.
 - **Email Marketing:** Sending promotional emails to potential and current customers.
 - **Content Marketing:** Creating and sharing valuable content to attract and engage an audience.

4. Hybrid Channels:

- Combining multiple types of channels to reach consumers.
- Example: A company might use both its own e-commerce site and third-party retailers like Amazon to sell products.

Different channels can reach different types of customer types. For a start-up it is important to choose channels based on which have the highest reach to your target customers.

For example if your target customer is young and technology savvy, perhaps the best way to reach them may be via social media where it is known that a very large number of your target customers congregate.

Sources

For more detailed insights on marketing segmentation and channels, you can refer to these sources:

- [Harvard Business Review on Market Channels](#)
- [Forbes on Marketing Channels](#)

Marketing Metrics

Marketing is often an expensive activity both in terms of time and financial resources to do it right. Mistakes made can be expensive also in how the brand is perceived by the customer especially for a new start-up as a negative perception can do massive damage to the start-up's ability to sell its product or service.

Therefore, it is important to measure the outcomes of any marketing campaign. This will also enable the start-up to develop highly effective marketing strategies and campaigns over a period of time.

Marketing metrics could include:

While you will review some of these in more detail in the next module, it is important for you to have an overview of the key metrics

1. Customer Acquisition Cost (CAC)

- Definition: The total cost of acquiring a new customer, including marketing and sales expenses.
- Importance: Helps determine the cost-effectiveness of marketing efforts.

2. Customer Lifetime Value (CLTV)

- Definition: The total revenue a business can expect from a single customer account throughout their relationship.
- Importance: Provides insight into how much a business should invest in acquiring and retaining customers.

3. Return on Investment (ROI)

- Definition: Measures the profitability of marketing investments, calculated as $(\text{Revenue} - \text{Cost}) / \text{Cost}$.
- Importance: Indicates the overall effectiveness and financial impact of marketing campaigns.

4. Conversion Rate

- Definition: The percentage of users who take a desired action (e.g., making a purchase, signing up for a newsletter).
- Importance: Shows how well a marketing campaign or website is turning visitors into customers.

5. Click-Through Rate (CTR)

- Definition: The ratio of users who click on a specific link to the number of total users who view an advertisement or email.
- Importance: Measures the effectiveness of online advertising and email campaigns.

6. Engagement Rate

- Definition: The level of interaction that content receives from users, often measured by likes, comments, shares, and overall interactions.
- Importance: Gauges how well content resonates with the audience.

7. Bounce Rate

- Definition: The percentage of visitors who navigate away from the site after viewing only one page.

- Importance: Indicates issues with website content or user experience.

8. Net Promoter Score (NPS)

- Definition: A customer loyalty metric that measures how likely customers are to recommend a company to others.
- Importance: Provides insights into customer satisfaction and brand loyalty.

9. Market Share

- Definition: The portion of a market controlled by a particular company or product.
- Importance: Helps assess a company's competitiveness within its industry.

10. Social Media Metrics

- Includes: Followers, likes, shares, comments, and reach.
- Importance: Measures the impact and effectiveness of social media campaigns.

11. Website Traffic

- Definition: The number of visitors to a website.
- Importance: Indicates the popularity and reach of a website.

12. Lead Generation Metrics

- Includes: Number of leads, cost per lead, and lead conversion rate.
- Importance: Measures the effectiveness of lead generation campaigns.

Marketing Activities

Marketing is all about creating awareness, generating interest, and establishing a brand. It includes a range of activities designed to engage your target audience and build lasting relationships.

These activities include:

- a. **Market Research:** Understanding the needs, preferences, and behaviors of your target audience.
- b. **Branding:** Developing a unique identity for your product or service that resonates with your audience.
- c. **Content Creation:** Producing valuable and relevant content to attract and engage potential customers.
- d. **Public Relations:** Managing your company's image and building a positive reputation.
- e. **Advertising:** Promoting your product or service through various channels to reach a wider audience.

Remember, **Marketing is a long-term strategy focused on building relationships with your audience over time.**

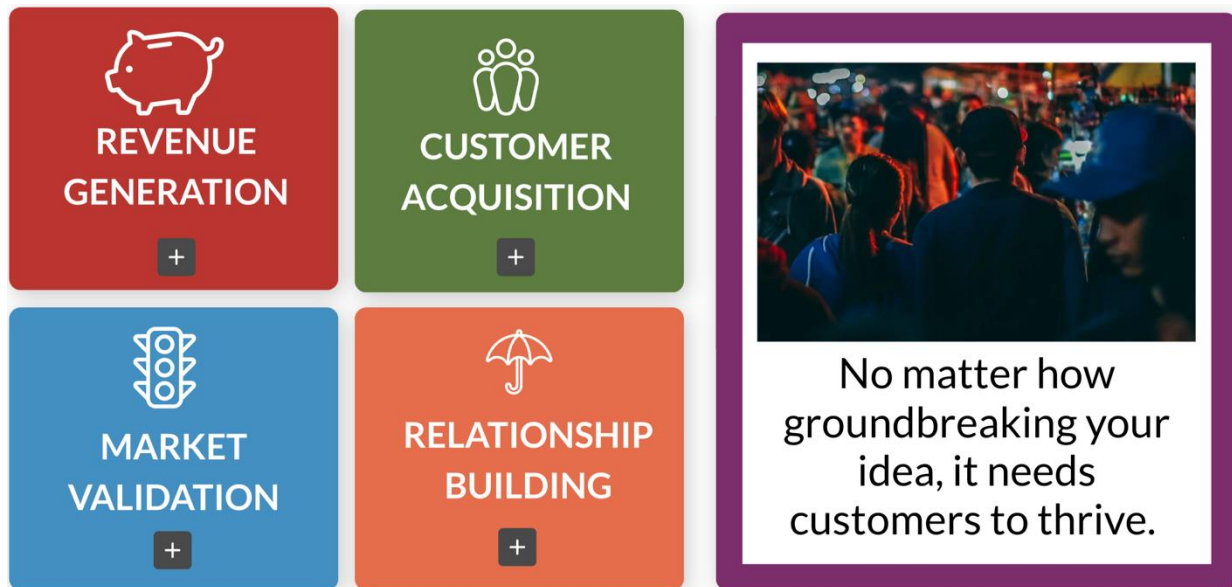
C. Sales - Details

No matter how brilliant your product, it's useless unless people buy it!

Converting Customer Interest into Customers with Sales

Once marketing has set the stage, an effective sales strategy takes over. Sales techniques turn prospects into paying customers, nurturing leads through personalized engagement and demonstrating the value of your product.

This conversion process is essential for building a sustainable customer base and driving growth.



This is why Sales is critically important for any business:

a. Revenue Generation

Sales are the lifeblood of any business, translating interest into paying customers and ensuring a steady cash flow.

For example, a tech start-up might have developed a ground breaking software solution, but it's the sales team that closes deals with businesses and brings in the revenue necessary to sustain and grow the company.

b. Customer Acquisition

Sales teams actively seek out new leads and convert them into customers, thereby expanding your reach and increasing your market share.

Example - Consider how Salesforce, a leader in CRM software, uses its sales force to reach out to potential clients, demonstrate the value of its solutions, and convert leads into loyal customers, steadily growing its user base.

c. Market Validation

The sales process provides invaluable customer feedback, offering insights into product-market fit and helping refine your offerings.

Example, when Tesla sells its electric vehicles, the feedback from customers about their experiences and preferences helps the company improve its cars and tailor its marketing strategies to better meet customer needs.

d. Relationship Building

Building rapport with customers fosters loyalty and advocacy, turning them into champions for your brand.

A great example is how Amazon, through its sales and customer service efforts, builds strong relationships with its customers, resulting in high customer satisfaction and a large base of repeat buyers who advocate for the brand.

How is Sales different to Marketing?

Sales, unlike Marketing is focused on the immediate and near-term objectives and goals. All of its efforts are concentrated on closing deals and generating revenue by converting leads into paying customers.

Sales activities are often more immediate and transactional, including:

- a. **Making Sales Calls**: Reaching out to potential customers directly.
- b. **Conducting Product Demonstrations**: Showing how your product or service works and its benefits.
- c. **Negotiating Terms**: Discussing and agreeing on the terms of the sale.

- d. **Closing Deals:** Finalizing the sale and ensuring the customer is committed to the purchase.

While Marketing aims to build interest and foster long-term relationships, Sales focuses on the direct actions needed to turn that interest into actual revenue.

The Power of Marketing and Sales

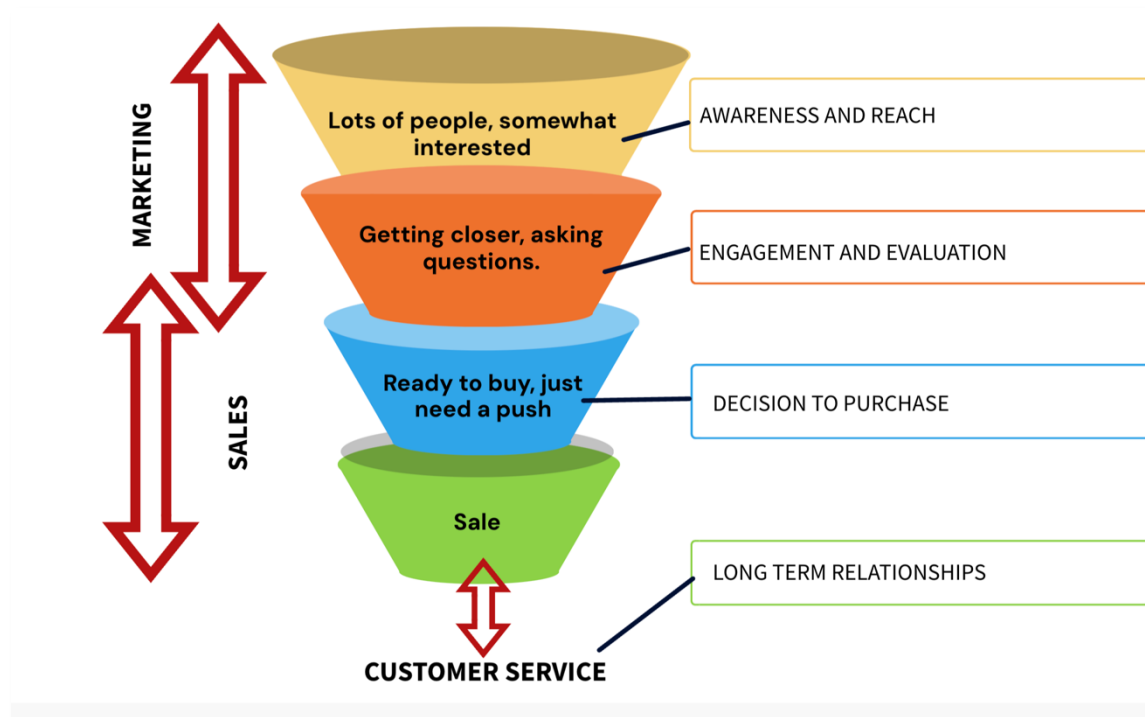
So, we have seen that together, Marketing and Sales ensure that your entrepreneurial ventures not only attract interest but also achieve sustainable profitability.

By leveraging well thought through marketing and sales strategies, start-ups can significantly improve their chances of success. This not only helps in reaching the right customers but also ensures that the product's value is effectively communicated, thereby fostering long-term growth and sustainability.

How are Marketing and Sales Interdependent?

To understand how Marketing and Sales work together, imagine a funnel that guides potential customers from first hearing about your brand to making a purchase. This funnel is divided into three stages: the top, middle, and bottom.

Top of the Funnel: Awareness and Reach



At the **top of the funnel**, the focus is on **creating awareness and reaching as many potential customers** as possible. This is where people first become aware of your brand or product. Various marketing activities are used to cast a wide net and attract attention:

- Blog Posts:** Informative articles that attract visitors through valuable content.
- Social Media Posts:** Engaging posts on platforms like Facebook, Twitter, and Instagram to reach a broad audience.
- Industry Reports:** Sharing insights and data relevant to your industry.
- SEO / Website:** Optimizing your website to appear in search engine results.
- PPC (Pay-Per-Click) Advertising:** Paid ads to drive traffic to your site.
- Television / Radio / Newspapers:** Traditional media advertising to reach a broad audience.
- Webinars:** Online seminars that offer valuable information.

- h. **Conferences / Industry Events**: Participating in or hosting events to network and increase visibility.
- i. **Podcasts**: Sharing expertise and insights through audio content.
- j. **Social Media Stories**: Short, engaging content on platforms like Instagram and Facebook.
- k. **Email Marketing**: Sending informative and promotional emails to a broad audience.
- l. **Awards/Recognition**: Leveraging awards and recognitions to build credibility and attract attention.

Middle of the Funnel: Engagement and Evaluation

The middle of the funnel focuses on **engaging potential customers and helping them evaluate** your product or service. The goal is to educate them and demonstrate why your offering is the best choice:

- a. **Case Studies**: In-depth examples of how your product or service has benefited other customers.
- b. **Product Demos**: Demonstrations that show the features and benefits of your product.
- c. **Targeted Email Marketing**: Sending more personalized and relevant emails to engaged leads.
- d. **Free Trials**: Allowing potential customers to try your product for free.
- e. **E-books**: Offering detailed information and insights on relevant topics.
- f. **FAQ Pages**: Providing answers to common questions to address concerns.
- g. **Comparison Guides**: Comparing your product with competitors to highlight advantages.
- h. **Testimonials**: Sharing positive feedback from satisfied customers.
- i. **White Papers**: In-depth reports on industry-specific issues.

- j. **Workshops:** Interactive sessions to educate and engage potential customers.
- k. **Awards/Recognition:** Showcasing accolades to build trust and credibility.

Bottom of the Funnel: Decision and Purchase

At the bottom of the funnel, leads are ready to make a purchase. The goal is to **facilitate their decision** and make it easy for them to commit. Sales activities become more focused and personalized and wants to foster trust:

- a. **Sales Promotions:** Special offers to incentivize purchases.
- b. **Consultative Selling:** Personalized sales approaches that address specific customer needs.
- c. **Live Demos:** Interactive demonstrations to answer final questions.
- d. **Customer References:** Providing references from existing customers.
- e. **Money Back Guarantee:** Offering a guarantee to reduce the risk of purchase.
- f. **Bundled Deals:** Offering packages that provide additional value.
- g. **BNPL (Buy Now, Pay Later) Offers:** Flexible payment options to ease the buying decision.

As leads move through the funnel, Marketing and Sales work together to nurture them at each stage. Marketing creates awareness and interest, while Sales engages and converts leads into paying customers. This collaboration ensures a smooth transition from potential interest to actual purchase, driving business growth.

Call-To-Action

- Review Competitors' Marketing Activities:
 - Refer to the list of direct competitors you previously identified.
 - Explore their websites, social media profiles, and any other marketing channels they utilize.
- Analyze Competitors' Goals:
 - Take note of the overarching goals or objectives evident in your competitors' marketing activities.
 - Consider what they are trying to achieve through their various marketing efforts.
- Reflect on Your Startup's Goals:
 - Think about the specific objectives you aim to accomplish through your own marketing activities.
 - Consider factors such as brand awareness, customer acquisition, lead generation, or sales growth.
- Document Your Goals:
 - Write down the top objectives for your startup's marketing activities.